

Micron Technology FSM + DCF — Model Update Log

June 2026 Update | Tyler Spencer

This document records the material changes made to the Micron Technology FSM + DCF in the June 2026 iteration, building on the May 2026 update. This round corrects the unlevered free cash flow mechanics and revises three valuation assumptions to frame a conservative, partial-re-rating base case. All figures in millions unless otherwise stated; all per-share figures as of the 5/26/26 valuation date.

Discounted Cash Flow — Unlevered Free Cash Flow

Area	Change Made	Source / Rationale
Capital Expenditures (sign correction)	Corrected a sign error in the unlevered FCF build: CapEx was being added rather than subtracted. UFCF now computes NOPAT + D&A + change in net working capital – CapEx. The prior treatment overstated UFCF by roughly two times CapEx each year.	Standard unlevered FCF definition. Error surfaced via a FCF-to-EBITDA conversion check — prior conversion ran ~75–87% of revenue, which is economically impossible for a fab-intensive memory manufacturer.

Discounted Cash Flow — Discount Rate

Area	Change Made	Source / Rationale
Equity Beta / WACC	Revised equity beta from 1.7 to 1.3 (forward-looking), lowering WACC from ~12.6% (historical basis) to 10.67%. Cost of equity = 4.3% risk-free + $1.3 \times 5.0\%$ ERP.	Forward-looking judgment reflecting reduced cyclicalities from multi-year long-term supply agreements and durable HBM demand. Held distinct from the backward-looking regression beta (~1.5–1.7); presented as a re-rating estimate, not the historical number.

Discounted Cash Flow — Terminal Value

Area	Change Made	Source / Rationale
Exit EBITDA Multiple	Changed the terminal-value exit EBITDA multiple from 13.0x to 7.0x.	13.0x applied an AI-infrastructure-style multiple to peak-cycle EBITDA, double-counting the super-cycle. 7.0x is a mid-range memory-sector EV/EBITDA appropriate for peak / normalizing

Area	Change Made	Source / Rationale
		EBITDA and triangulates with the implied perpetuity-method multiple of ~6.9x.

Operating Assumptions

Area	Change Made	Source / Rationale
Gross Margin Glide	Revised the gross-margin path to a shallower normalization: FY2026 75%, FY2027 80% (peak), FY2028 65%, FY2029 60%, FY2030 55%. Terminal (FY2030) gross margin set at 55%.	FY2026–FY2027 tie to reported results and guidance (Q2 FY2026 GAAP gross margin 74.4%). Out-year glide reflects a partial structural re-rating (LTAs, HBM mix) rather than full reversion to the ~33% historical through-cycle average; FY2030 at 55% sits at the bull edge of the defensible normalized range.

Net Valuation Impact

The CapEx correction removed the overstatement that had inflated the prior implied value to roughly \$1,050 per share. The beta, gross-margin, and exit-multiple revisions then establish a coherent partial-re-rating base case. The base-case DCF resolves to:

Base-Case Output	Value
Implied value / share	\$615.89
Enterprise value	\$686B
Equity value (EV + ~\$7B net cash)	\$693B
Diluted shares	1,125M
WACC	10.67%
Long-term growth rate	3.0%
Exit EBITDA multiple	7.0x
Terminal value as % of EV	71%
EV / EBITDA (Year 1)	7.9x
Public price (5/26/26)	\$896